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Improving the Quality of Consumer Choice: Unfair Terms Directive Revisited

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Abstract: This article investigates how the Unfair Terms Directive (UTD) attempts to improve the quality of consumer choice through establishing the extended choice mechanism. It consists of three parts: analytical, interpretive, and doctrinal. The analytical part explains how the *ex post* control of contract terms provides consumers with an opportunity to rethink their original, poor-quality choice, and to eventually make a subsequent, exonerating choice. This fiction of a uniform, high-quality choice is established by the so-called extended choice mechanism. The interpretive part of the article elucidates the normative principle underlying the extended choice mechanism. The article argues that consumer law considers choices as intrinsically valuable expressions of personal autonomy. Therefore, it posits that the judicial control of standard form contracts, and EU consumer law more generally, is guided by the principle of consumer autonomy. The article thus opposes the welfarist view, according to which choices are valuable instrumentally as tools of maximising efficiency, or facilitating the European Union (EU) internal market. The doctrinal part of the article substantiates its analytical and interpretive arguments. It covers fundamental strands of the Court of Justice of the European Union case-law concerning unfair terms: the consequences of removing unfair terms from consumer contracts, the transparency requirement and the *ex officio* doctrine. Despite its local focus, the article's conclusions are more general since factors that undermine the quality of consumer choice – and regulations addressing them – are similar around the world.

Key words: Unfair Terms Directive, consumer choice, removing unfair terms, transparency, ex officio

1. Introduction

The unprecedented abundance of consumer choice that characterises modern markets,[2] while for many reasons beneficial, has a cost. The quantity of choice enabled by standardisation of those markets often comes at the expense of the quality of those very choices.[3] Consumers make choices with limited knowledge about the features of goods and services, and the exact content

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[2] See Barry Schwartz, *The Paradox of Choice: Why More Is Less* (rev edn, Ecco 2016) 9–46.

[3] On the structure of consumer markets that entails such a trade-off, see Robert Scott, 'The Paradox of Contracting in Markets' (2020) 83 *Law and Contemporary Problems* 71, 72.

of standard form contracts provided by traders. Moreover, as mere recipients of those contracts, drafted by traders in advance, consumers are not able to negotiate their content, and are effectively induced to accept them on take-it-or-leave-it basis. Poor quality of consumer choices is a consequence of limited information and limited bargaining power.[4]

For the most part, that quality/quantity trade-off works well for market participants. In exchange for a wide range of affordable goods and services, consumers are willing to accept poor quality choices, while traders enjoy their profits. Overall, consumer markets effectively coordinate the interests of their subjects. However, poor quality choices can also lead to disastrous outcomes for consumers, as recently illustrated by the foreign currency loans crisis in Central and Eastern Europe. In the 2000s, hundreds of thousands of consumers in this area took loans denominated in or indexed to the Swiss franc (CHF).[5] At the time, the average annual rate of such a loan was nearly twice as low as the respective interest rate of a loan issued in the customer's national currency. Therefore, bank customers were provided with a cheap credit burdened, however, with the risk of fluctuating currency exchange rates. Eventually, the financial crisis of 2008 and the Swiss National Bank's decision to unpeg CHF from the euro in January 2015 caused the exchange rate of CHF against national currencies to increase dramatically.[6] As a result, the cost of many CHF loans nearly doubled, causing consumers to suffer extreme losses. To give the reader a rough idea of the significance of the foreign currency loan crisis: as of 31 December 2019, the total value of mortgage loans denominated to or indexed in CHF amounted to PLN 101.8 billion, amounting to 19.6 % of the value of all such loans in Poland.[7] The foreign currency loan crisis, and the corresponding line of cases decided by the Court of Justice of the European Union (CJEU),[8] clearly demonstrates the need for addressing potentially disastrous outcomes produced by consumer markets without undermining the overall benefits brought by those markets.

One way to do so would be to eliminate choice: if poor quality choices can lead consumers astray, perhaps it is simply better to reduce their number.[9] However, regulators around the world prefer an alternative option: improving the quality of consumer choices. They attempt to make those choices less constrained by providing consumers with relevant information and empowering them in their dealings with traders. The judicial control of standard form contracts – in the EU covered by the Unfair Terms Directive (UTD)[10] – is among the most predominant modes of doing so.

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[4] As famously argued by the CJEU in Joined Cases C–240/98 to C–244/98, *Océano,* ECLI:EU:C:2000:346, para 27.

[5] This brief summary follows Rafał Mańko, U*nfair Terms in Swiss Franc Loans: Overview of European Court of Justice Case Law* (2021) European Parliamentary Research Service (PE 689.361) 2–4.

[6] For a more detailed account of the origins of, and regulatory responses to the foreign currency loans crisis in Poland, see Mathias Sosnowski Krabbe, 'From Laissez-faire Lending to the Marketization of Litigation: The Case of Swiss Franc Debtors in Poland' (2023) 27(3–4) *City* 618.

[7] Mańko (n 5) 2, citing Aktualności BIK: Portret Frankowicza <https://media.bik.pl/informacje-prasowe/483350/aktualnosci-bik-portret-frankowicza-2020-02-04> accessed 9 June 2025.

[8] For a recent overview of the case law, a significant part of which will also be analysed in the following sections of this article, see Stefan Grundmann and Nikolai Badenhoop, 'Foreign Currency Loans and the Foundations of European Contract Law – A Case For Financial and Contractual Crisis?' (2023) 19(1) ERCL 1.

[9] See generally Cass Sunstein, *Choosing not to Choose* (OUP 2015).

[10] Council Directive 93/13/EEC of 5 April 1993 on unfair terms in consumer contracts [1993] OJ L95 (Unfair Terms Directive).

This article investigates how the UTD addresses the above trade-off. It develops an original interpretation of the Directive, focused on the intrinsic value of consumer choice. It argues that the main aim of the judicial control of standard form contracts – and EU consumer law more broadly – is to enhance consumer autonomy against the particular background of consumer markets. It thus provides a non-instrumentalist perspective on the UTD, distinct from mainstream theories informed by behavioural law and economics, focused on facilitating the EU internal market, or pursuing social justice. Such an approach enriches the already rich discussion on the normative underpinnings on the Directive,[11] by combining its comprehensive analysis with insights from contemporary contract law theory. To do so, the article investigates the conception of choice that underpins EU consumer law, which so far has been under-theorised, despite its crucial importance for this legal area.[12] As further elaborated in Section 2, the article argues that the Directive improves the quality of consumer choice by establishing the extended choice mechanism that allows consumers to rethink their original, poor-quality choice, and to eventually make a subsequent, exonerating choice. Understanding how the extended choice mechanism works is necessary to grasp the UTD's normative underpinnings. Combining the analytical treatment of the Directive's provisions with commitment to the principle of consumer autonomy and the intrinsic value of choice will bring some clarity into the discussion about the judicial control of standard form contracts in the EU.

Another reason why a new conceptualisation of the judicial control of unfair terms is justified are the relatively recent developments in case law of the CJEU. Most previous attempts to analyse the normative underpinnings of the Directive were triggered either by its enactment,[13] or by groundbreaking cases of the CJEU, for instance concerning financial services, often originating from Spain.[14] With the line of cases regarding the foreign currency loans crisis seemingly coming to an end – the Court has now ruled on most relevant aspects of those contracts and has moved its focus to more peripheral issues[15] – it is the prefect time to re-theorise the UTD and its normative underpinnings. While the foreign currency loans crisis has been subject to extensive debate,[16] this article is the first attempt to analyse it within a comprehensive and original theoretical framework.

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[11] For a seminal analysis, see eg Oren Bar-Gill and Omri Ben-Shahar, 'Regulatory Techniques in Consumer Protection: A Critique of European Consumer Contract Law' (2013) 50 CML Rev 109; Hans Erich Brandner and Peter Ulmer, 'The Community Directive on Unfair Terms in Consumer Contracts: Some Critical Remarks on the Proposal Submitted by the EC Commission' (1991) 28 CML Rev 647; Hans Wolfgang Micklitz and Norbert Reich, 'The Court and Sleeping Beauty: The Revival of the Unfair Contract Terms Directive (UCTD)' (2014) 51 CML Rev 771.

[12] Anne Lise Sibony, 'Did You Say "Theories of Choice"? On the Limited and Variable Appetite for Theories in Consumer Law' in Stefan Grundmann and Philipp Hacker (eds), *Theories of Choice* (OUP 2021) 115.

[13] Brandner and Ulmer (n 11).

[14] See eg. Micklitz and Reich (n 11) 771–772.

[15] See e.g. Case C–140/22, *mBank S.A.,* ECLI:EU:C:2023:965, where the CJEU ruled that banks do not have any additional restitution claims towards consumers whose contracts have been canceled due to unfair terms included there.

[16] See eg Maddalena Ginestri, 'Equality or Superiority of the Weak Party? Consumer Protection and the Issues at Stake' (2023) 19(4) ERCL 375; Grundmann and Badenhoop (n 7); Emilia Mišćenić, Piotr Tereszkiewicz and Marta Infantino, 'The Interplay Between the CJEU and National Courts in the Case Law on Unfair Contract Terms in Foreign Currency Loans: A Comparative Overview (2023),19(4) ERCL 346.

For these reasons, the theoretical part of the article is accompanied and enriched by an up-to-date doctrinal analysis of the Court's jurisprudence on the judicial control of unfair terms. The analysis will first cover the CJEU case law on the consequences of removing unfair terms from standard form contracts (Section 3), where the impact of the foreign currency loans crisis has been the most pertinent. Accordingly, this area of the Court's jurisprudence provides the most fertile ground for demonstrating the advantages of the current approach in comparison with other attempts to theorise the Directive's provisions. Next, the article will cover the CJEU case law on the UTD transparency requirement (Section 4). In this area, case law developments inspired by the foreign currency loans crisis have also been substantial, yet arguably less far-reaching than those regarding the removal of unfair terms. Finally, the article will cover cases concerning the so-called *ex officio* doctrine (Section 5), where the impact of recent cases have been rather marginal. However, it is important to include this aspect of the Court's jurisprudence as well, in order to demonstrate how different elements of the UTD, and the extended choice mechanism constituted there, interact with one another. The concluding Section 6 will elaborate on broader implications of the argument for EU consumer law – as well as EU law more generally – and outline some limitations of the present considerations.

2. Extended Choice Mechanism and the Value of Choice

This section analyses how the UTD attempts to improve the quality of consumer choice by introducing the extended choice mechanism. However, before that, let me consider why improving the quality of choice is relevant in the first place. Two perspectives prevail in the literature. The first perspective considers choices as intrinsically valuable venues for exercising autonomy. The intrinsic value of choices should therefore be protected for its own sake. According to such a view, poor quality choices are less meaningful than they otherwise could be. Because their choices are constrained, consumer autonomy cannot be fully expressed; this is further undermined if traders abuse their superior position to exploit consumers.[17] In most cases, consumers are willing to accept poor-quality choices. This is not only because they benefit from standardised consumer markets, but also because most consumer choices are not the most important venues for exercising autonomy. Consumers accept poor quality choices so "they can focus their time and attention instead on other – more valuable (for them) – projects'".[18] Only an occurrence of particularly detrimental consequences triggers the need to improve the quality of choice in order to make it more meaningful.

The second perspective considers choices as instrumentally valuable towards achieving another objectives. Such an instrumentalist approach can focus on maximising welfare understood in terms of preference-satisfaction: letting consumers choose maximises efficiency because they know their preferences better than anyone else.[19] Instrumentalists do not consider poor quality of choices as problematic as such. Their quality should be improved when the objective

[17] Cf Dori Kimel, *From Promise to Contract* (Hart 2003) 130.
[18] Hanoch Dagan and Michael Heller, *The Choice Theory of Contracts* (CUP 2017) 60.
[19] Louis Kaplow and Steven Shavell*, Fairness Versus Welfare* (HUP 2006) 15–38.

of maximising efficiency is compromised. Even if poor quality choices lead to consumer detriment but do not undermine overall efficiency – when gains in traders' preference-satisfaction outweigh consumers' losses – the instrumentalist view does not see any need for regulation.[20] According to the instrumentalist approach, regulation should address consumer limited information and limited bargaining power only if efficiency gains would follow.[21] Moreover, the instrumentalist approach might focus also on other objectives, such as pursuing social justice.[22] In any case, according to instrumentalists, the value of choice is contingent. Improving the quality of choice is desirable only in the absence of more effective alternatives to achieve relevant objectives. Otherwise, instrumentalists would have no issue with eliminating choice whatsoever.

In the EU, such an instrumentalist is often disguised behind the rhetoric of facilitating the EU internal market.[23] This article goes against such an approach, and argues that, while the internal market rhetoric is not entirely implausible, it should be understood in terms of enhancing consumer autonomy rather than increasing efficiency.[24] Alongside emphasising the intrinsic value of consumer choice, the article considers markets – including the EU internal market – as the structure conductive to the intrinsically valuable principles of self-determination and self-authorship.[25] A closer look at the UTD and the corresponding case law demonstrates that such a perspective, focused on the intrinsic value of choice, allows for a more coherent interpretation of the Directive's provisions.

2.1. Extended Choice Mechanism

The UTD allows national courts to evaluate contract terms that have been drafted by traders in advance and whose substance consumers have not been able to influence (Article 3(2) UTD).[26] It states that unfair contract terms – those that "cause a significant imbalance in the parties' "rights and obligations arising under the contract", are "contrary to the requirement of good faith", and result in "the detriment of the consumer" (Article 3(1) UTD) – do not bind

[20] Oren Bar-Gill, 'Algorithmic Price Discrimination. When Demand is a Function of Both Preferences and (Mis)Perceptions' (2019) 86(2) *University of Chicago Law Review* 217.
[21] Korobkin, 'Bounded Rationality, Standard Form Contracts, and Unconscionability' (2003) 70(4) *University of Chicago Law Review* 1203, 1208–1244.
[22] Cf Micklitz and Reich (n 11).
[23] Hugh Collins, 'The Revolutionary Trajectory of EU Contract Law Towards Post-national Law' in Sarah Worthington, Graham Robertson and Andrew Virgo (eds), *Revolution and Evolution in Private Law* (Hart 2018) 319–320.
[24] I would like to thank the anonymous reviewer for this comment.
[25] For such a vision of markets, see eg Hanoch Dagan, 'Markets for Self-Authorship' (2018) 28 *Cornell Journal of Law and Public Policy* 557; Amartya Sen, 'The Moral Standing of the Market' (1985) 3 *Social Philosophy and Policy* 3.
[26] Unfair Terms Directive, art 3(2): 'A term shall always be regarded as not individually negotiated where it has been drafted in advance and the consumer has therefore not been able to influence the substance of the term, particularly in the context of a pre-formulated standard contract.' The Directive can also cover individual contract terms, as long as they have not been negotiated. See Geraint Howells, Christian Twigg-Flesner and Thomas Wilhelmsson, *Rethinking EU Consumer Law* (Routledge 2018), 137; Case C-452/18, *Ibercaja Banco*, ECLI:EU:C:2020:536, para 39.

consumers.[27] Those concepts generally define the criteria of unfairness of contract terms.[28] Therefore, they "cannot be understood either as being cumulative or as being alternative, but must be understood as forming part of all the circumstances surrounding the conclusion of the contract".[29] Disproportionate burdens that a contract term puts on a consumer and a trader – even if only potentially – are crucial for evaluating it as unfair.[30]

An immediate question arises. Courts necessarily evaluate contract terms *ex post*. However, if improving the quality of choice is the main function of the UTD, how can it be done after a choice is made? Resolving this paradox is the clue to the extended choice mechanism, which provides consumers with an opportunity to rethink their original, poor-quality choices – made with limited information and limited bargaining power – and consider whether they can endorse those choices. The mechanism is triggered by the abuse of power by traders (Recital 9 UTD) who might want to exploit consumers.[31] In the absence of detriment to the consumer, there is no need to resort to that mechanism: either the consumer's choices can be considered high-quality, or they simply accept the trade-off between quantity and quality of choices. If detriment occurs, however, the extended choice mechanism allows consumers to make a subsequent choice about removing unfair terms from a contract, thus exonerating their original choice. Then, it creates a legal fiction that both the original and the subsequent choice are a single, high-quality choice.

Creating such a sophisticated fiction is facilitated by a set of provisions. Most importantly, Article 6(1) UTD makes consumer choices sticky by stating that, once unfair terms have been removed, "the contract shall continue to bind the parties upon those terms if it is capable of continuing in existence without the unfair terms".[32] This provision enshrines the idea that standard form contracts control should preserve "the validity of the contract as a whole", instead of "abolishing all contracts containing unfair terms".[33] The stickiness of choice demonstrates the Directive's attachment to improving the quality of choice and maintaining its validity to the highest extent possible.

In addition, Article 4(2) UTD states that the unfairness test "shall relate neither to the definition of the main subject matter of the contract nor to the adequacy of the price and remuneration".[34] This provision is based on the presumption that core contract terms are covered by

[27] Unfair Terms Directive, art 3(1): 'A contractual term which has not been individually negotiated shall be regarded as unfair if, contrary to the requirement of good faith, it causes a significant imbalance in the parties' rights and obligations arising under the contract, to the detriment of the consumer.'

[28] Joined Cases C–229/19 and C–289/19, *Dexia Nederland*, EU:C:2021:68, para 47; Case C-405/21, *Nove Kreditna Banka Maribor*, ECLI:EU:C:2022:793, paras 17-37.

[29] Case C–600/21, *Caisse régionale de Crédit mutuel de Loire-Atlantique and du Centre Ouest,* ECLI:EU:C:2022:970, para 35.

[30] Joined Cases C–776/19 to C–782/19, *BNP Paribas Personal Finance,* ECLI:EU:C:2021:470, para 103.

[31] Unfair Terms Directive, recital 9: 'Whereas in accordance with the principle laid down under the heading 'Protection of the economic interests of the consumers', as stated in those programmes: 'acquirers of goods and services should be protected against the abuse of power by the seller or supplier, in particular against one-sided standard contracts and the unfair exclusion of essential rights in contracts'.'

[32] The full art 6(1) of the Unfair Terms Directive reads as follows: 'A contractual term which has not been individually negotiated shall be regarded as unfair if, contrary to the requirement of good faith, it causes a significant imbalance in the parties' rights and obligations arising under the contract, to the detriment of the consumer.'

[33] Case C–453/10, *Pereničová,* ECLI:EU:C:2012:144, paras 27, 31.

[34] Unfair Terms Directive, art 4(2).

high quality consumer choices since "the buyer's market that generally prevails in a free economy, and the choice thereby guaranteed to the purchaser ensures that the main subject matter of the contract is stipulated under competitive conditions".[35] Choices related to core contract terms are free from usual constraints, as in market conditions consumers are presumed to be sufficiently informed about those terms and be able to switch to other offers, thus possessing some degree of bargaining power. Even if those terms result in consumers' detriment, the latter is legitimated by choices the quality of which does not have to be improved. In other words, the Directive is based on the assumption that consumer choices regarding goods and services as such – as core contract terms are usually related to these – are qualitatively different from choices regarding other contract terms. I will discuss this controversial assumption in more detail in the concluding section.

These crucial provisions of the Directive are supplemented by others, such as the transparency requirements that requires that contract terms be drafted "in plain, intelligible language" (Articles 4(2) and 5 UTD),[36] or the presumption that national default rules that fill incomplete contracts do not contain unfair terms (Recital 13 and Article 1(2) UTD).[37] I will come back to this provisions later in the article. At the moment, it is relevant to evaluate the crucial parts of the extended choice mechanism – the unfairness test and the stickiness of choice – and reveal their underlying principles. This is not an easy task since legal provisions tend to be theory-neutral: the same rules can be interpreted in divergent yet equally plausible ways.[38] Only later, when the whole body of the CJEU's case law on the UTD is considered, more definite conclusions will follow.

2.2. Unfairness Test

The CJEU clarified the unfairness criteria from Article 3(1) UTD in *Aziz*, where it established a two-prong unfairness test. First, the evaluation of unfairness must start with considering "what rules of national law would apply in the absence of an agreement by the parties in that regard" and comparing the legal situations of the consumer in both scenarios.[39] Courts should thus consider whether potentially unfair terms constitute "a sufficiently serious impairment of the legal situation that national law confers on that consumer as a party to the contract" in comparison with otherwise applicable default rules.[40]

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[35] Brandner and Ulmer (n 11) 653.

[36] Unfair Terms Directive, art 4(2): 'Assessment of the unfair nature of the terms shall relate neither to the definition of the main subject matter of the contract nor to the adequacy of the price and remuneration, on the one hand, as against the services or goods supplies in exchange, on the other, in so far as these terms are in plain intelligible language."; Unfair Terms Directive, art 5: 'In the case of contracts where all or certain terms offered to the consumer are in writing, these terms must always be drafted in plain, intelligible language. Where there is doubt about the meaning of a term, the interpretation most favourable to the consumer shall prevail…'

[37] Unfair Terms Directive, recital 13: 'Whereas the statutory or regulatory provisions of the Member States which directly or indirectly determine the terms of consumer contracts are presumed not to contain unfair terms…'; Unfair Terms Directive, art 1(2): 'The contractual terms which reflect mandatory statutory or regulatory provisions and the provisions or principles of international conventions to which the Member States or the Community are party, particularly in the transport area, shall not be subject to the provisions of this Directive.'

[38] See Wilhelmsson, 'Varieties of Welfarism in European Contract Law' (2004) 10(6) ELJ 712, 717.

[39] Case C–415/11 *Aziz,* ECLI:EU:C:2013:164, para 68.

[40] Case C–226/12 *Constructora Principado,* ECLI:EU:C:2014:10, para 21.

However, as noted by Advocate General Kokott in her Opinion in *Aziz*, "in many cases parties have a legitimate interest in organising their contractual relations in a manner which derogates from the statutory provisions".[41] This reasoning recognises that the parties should be allowed to choose how they structure their contractual relationship, even if it diverges from default rules and potentially leads to disproportionate burdens. Hence the second prong of the unfairness test, based on the hypothetical bargaining standard, according to which "the national court must assess for those purposes whether the seller or supplier, dealing fairly and equitably with the consumer, could reasonably assume that the consumer would have agreed to such a term in individual contract negotiations".[42] Since the inclusion of potentially unfair terms results from poor quality consumer choices, in particular limited bargaining power, evaluating their fairness should simulate what would happen if those choices were not constrained in such a manner.

The hypothetical bargaining standard, the cornerstone of the unfairness test, is considered by many as ambiguous.[43] On the one hand, it can be interpreted in an abstract way that "constructs the bargain as it would be struck by idealized rather than real world transactors" and "attribute[s] to the idealized bargainers a greater degree of rationality, or access to [] extensive information".[44] On the other hand, it can be interpreted in a less idealised way, adjusted to particular parties and contexts, and thus closer to actual choices.[45] Those divergences render the underlying principles of the unfairness test difficult to discover. The first interpretation, more distant from the original choice, is more consistent with the instrumentalist view, more consistent with pursuing external objectives, whereas the second interpretation seems to embrace the intrinsic value of choice.

It must be remembered, however, that the hypothetical bargaining standard applied only at the second prong of the unfairness test, that is in the absence of evidence that consumers chose to diverge from default rules. As will be elaborated in what follows, consumer choice remains the decisive factor in evaluating the unfairness of contract terms, even if results can be inconsistent with external objectives. Therefore, even in the absence of definite conclusions, the crucial importance of choice might hint at the Directive's attachment to its intrinsic value.

2.3. Stickiness of Choice

A similar line of reasoning can be applied to Article 6(1) UTD. This provision renders consumer choices "sticky" by requiring that, whenever possible, the overall validity of contracts containing unfair terms should be preserved. From the instrumentalist perspective – where choices are to be preserved only insofar as they help achieve external objectives – this persistence is hard to justify. If superior outcomes can be achieved by limiting or eliminating choice,

[41] Opinion of AG Kokott in Case C–415/11 *Aziz* [2013] ECLI:EU:C:2012:700, para 73.
[42] Case C–415/11, *Aziz,* para 69; for further elaborations, see Case C–421/14, *Banco Primus,* ECLI:EU:C:2017:60, paras 59–60; Joined Cases C–229/19 and C–289/19, *Dexia Nederland,* paras 49, 54.
[43] David Charny, 'Hypothetical Bargains: The Normative Structure of Contract Interpretation' (1991) 89 *Michigan Law Review* 1815, 1820.
[44] Ibid 1820–1821.
[45] Ibid.

instrumentalists would tend to support such measures. Therefore, the stickiness of consumer choices enshrined in Article 6(1) UTD suggests that the law considers them as intrinsically valuable.

However, an alternative interpretation is possible. In *Pereničová*, the CJEU stated that the decision whether a contract remains valid after removing unfair terms should not depend on whether that outcome would benefit the consumer more – either by upholding or annulling the contract.[46] The Court relied on the Opinion of Advocate General Trstenjak, who argued that establishing the EU internal market requires that the stability of contractual relations is essential for fostering confidence among market participants, a prerequisite for the effective functioning of the internal market. "An arrangement in which the validity of a contract as a whole depends on the interests of only one party", according to Trstenjak ,"is not only incapable of promoting that confidence, but may even unsettle it in the long term. Just as the willingness of sellers or suppliers to make contracts with consumers would be likely to decline as a consequence, so might the goal of establishing the internal market be frustrated".[47] This is an evident example of instrumentalist reasoning: consumer choice is preserved not because it is instrumentally valuable, but because doing so contributes to facilitating the EU internal market.

While apparently appealing, such an argument introduces significant tensions within the instrumentalist perspective. Ultimately, if the decision to keep a contract valid is contingent on its effects on the market, consumer welfare becomes a secondary concern. However, decoupling consumer welfare from the deterrence analysis makes the Court's reasoning inconsistent with the very basis of the instrumentalist view. At the same time, assessing the effects of keeping a contract valid (after removing unfair terms) requires complex and fact-sensitive analysis, absent from both the judgment and the Opinion in *Pereničová.*[48] This omission casts doubt on the robustness of the instrumentalist account. Moreover, the assumption that invalidating contracts that include unfair terms would erode trader confidence is contestable. A credible argument can be made that striking such contracts down would deter the use of unfair terms more effectively, better facilitating the EU internal market in the long run.

All this shows the limits of the instrumentalist view. In contrast, the idea that consumer choices are sticky because of their intrinsic value offers a more straightforward and more coherent explanation. If improving the quality of consumer choices is considered as valuable in itself – regardless of its effects on welfare – all other considerations become secondary. Once the importance of the intrinsic value of those choices is accepted, decoupling consumer welfare from considerations about the continuing validity of contracts is no longer contentious. Sticking to the original choice – whenever possible – is logically entailed by its intrinsic value.

Although far from conclusive, these considerations suggest that the extended choice mechanism is better understood as enshrining the intrinsic value of consumer choice. The following sections will explore the CJEU's jurisprudence on different aspects of the extended choice

[46] Case C–453/10, *Pereničová*, para 36.
[47] Opinion of AG Trstenjak in Case C–453/10, *Pereničová,* ECLI:EU:C:2011:788, para 67.
[48] As well as in subsequent cases that reiterate the similar reasoning; eg Case C–932/19 *OTP Jelzálogbank and others,* ECLI:EU:C:2021:673.

mechanism from the UTD, which increasingly reflects this orientation, rendering the instrumentalist view normatively and doctrinally inadequate.

3. Removing Unfair Terms

How the extended choice operates in practice is best illustrated by the CJEU's case law on the consequences of removing unfair terms from consumer contracts. As mentioned, this is the area where the impact of the foreign currency loans crisis on the Court's jurisprudence has been the most transformative and far-reaching. Accordingly, it is the most suitable area to show how EU consumer law attempts to improve the quality of consumer choice.

As submitted in Section 2, making consumer choices sticky – via Article 6(1) UTD – might indicate that consumer law treats them as intrinsically valuable. The stickiness of choice is the backbone of the extended choice mechanism which attempts to retroactively improve the quality of choice. This section further elaborates on those considerations by investigating the CJEU's case law on the consequences of removing unfair terms from consumer contracts. Analysing that jurisprudence will have three purposes. First, and most importantly, it will demonstrate that the law considers consumer choices as intrinsically valuable. Had the value of choice been merely instrumental – towards maximising welfare or facilitating the internal market – many of the Court's decisions would be hard to justify. Second, and accordingly, the following analysis will touch upon important elements of the extended choice mechanism, such as the role of harm suffered by consumers in improving the quality of consumer choices, or the exemplary role of default rules. Third, it will illustrate the scope of the CJEU's activism, which creatively interpreted the relatively ambiguous content of Article 6(1) UTD.

All of those issues were first indicated in *Banco Español de Crédito.* The CJEU was asked if Article 6(1) UTD allows courts to modify the content of unfair contract terms if removing them would result in annulling the contract to consumers' detriment. The Court's answer was unequivocally negative, since the possibility of revising unfair terms

> would contribute to eliminating the dissuasive effect on sellers or suppliers of the straightforward non-application with regard to the consumer of those unfair terms … in so far as those sellers or suppliers would remain tempted to use those terms in the knowledge that, even if they were declared invalid, the contract could nevertheless be modified, to the extent necessary, by the national court in such a way as to safeguard the interest of those sellers or suppliers.[49]

The above reasoning is deterrence-oriented. The CJEU justified its decision by referring to the systemic objective of cleansing the internal market from unfair terms in the future. Interestingly, the Court employed a similar argument in *Kásler*, where it clarified that the prohibition of revising unfair terms does not mean that courts, in some circumstances, cannot substitute

[49] Case C–618/10, *Banco Español de Crédito,* ECLI:EU:C:2012:349, para 69.

unfair terms with "supplementary provisions of national law". According to the CJEU, replacing unfair terms with default rules is allowed if a whole contract cannot remain valid without those terms but, at the same time, annulling it would expose consumers to "particularly unfavourable consequences", such as the necessity to immediately pay the whole outstanding balance of the loan. In line with the deterrence-oriented approach, prohibiting such replacements would "penalise the consumer rather than the lender who, as a consequence, might not be dissuaded from inserting such terms in its contracts" and, accordingly, "the dissuasive effect resulting from the annulment of the contract could well be jeopardised".[50]

Kásler further validated and expanded the exemplary role of default rules, enshrined in the presumption from Recital 13 UTD that such rules do not contain unfair terms.[51] Default rules can be an indicator of the unfairness of contract terms in the first prong of the *Aziz* test. However, as demonstrated above, consumers can legitimately choose to exclude default rules, and, in the presence of such a choice, the divergence between contract terms and default rules does not determine that the former are unfair. In any case, within the unfairness test, default rules do not directly replace contract terms; they merely serve as a benchmark for evaluating their unfairness.[52]

This changes in circumstances like those in *Kásler*. Protecting consumers from "particularly unfavourable consequences" brings default rules closer to the function they usually perform in general contract law: gap-filling. Default rules are supposed to supplement incomplete contracts with norms determined by a lawmaker according to some pre-selected criteria.[53] Normally, the direct application of default rules in consumer contracts is limited for two reasons. First, most rules of consumer law are mandatory, so there is less demand for rules that the parties can opt out of.[54] Second, and more importantly, standard form contracts are often comprehensive enough to exclude the supplementary application of default rules. However, if the incompleteness of a consumer contract results from removing unfair terms, default rules can be used to fill the gap and protect consumers from significant harm.

I am going to argue that the gap-filling function of default rules illustrates the limits of improving the quality of consumer choices within the extended choice mechanism. It is triggered in situations where the stickiness of choice can lead to paradoxical results. Therefore, default rules should be considered as proxies of high-quality consumer choices, had they not been constrained by limited information and limited bargaining power. While those proxies are not always adequate – since the perfect calibration of default rules is impossible[55] – they are the best consumer law could do to avoid troubling consequences of the extended choice mechanism.

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[50] Case C–26/13, *Kásler*, para 83.

[51] See also Case C–593/22, *First Bank,* ECLI:EU:C:2023:555, para 28.

[52] Cf Apostolos D Tassikas, 'The Court and the Sleeping Beauty 2.0: Filling the Contractual Gap, or Making Valid Consumer Contracts to the Detriment of the Non-consumer?' (2023) 19(4) ERCL 422, 446; see also Martijn Hesselink, *Justifying Contract in Europe* (OUP 2020) 235–237.

[53] For the seminal account, see Ian Ayres and Robert Gertner, 'Filling Gaps in Incomplete Contracts: An Economic Theory of Default Rules' (1989) 99(1) *Yale Law Journal* 87.

[54] Bar-Gill and Ben-Shahar (n 11) 122.

[55] On the difficulties with calibrating default rules so they correspond to the relevant majority of contracting parties, see Alan Schwartz and Robert Scott, 'Contract Theory and the Limits of Contract Law' (2003) 113(3) *Yale Law Journal* 541, 598.

To begin with, it must be noted that the CJEU remains consistent in its view that, while replacing unfair terms with default rules is sometimes acceptable, anything reminiscent of revising their content is not. In *Dziubak*, it stated that courts cannot replace unfair terms with standards such as "principles of equity (rules of social conduct) or established customs".[56] Such standards cannot be presumed to be fair since – contrary to default rules – they "do not appear, in any event, to have been subject to a specific assessment" that is "meant to reflect the balance that the legislature intended to establish between all the rights and obligations of the parties to certain contracts".[57] Replacing unfair terms with such standards would give courts an unacceptable level of discretion over their content, which would amount to revising them.

Dziubak remains controversial as a ruling that relies on questionable legal reasoning – since Recital 13 and Article 1(2) UTD do not distinguish between rules and standards as regulatory techniques – which lowers the level of consumer protection.[58] Nevertheless, in subsequent cases, the CJEU continues to dismiss anything that ostensibly resembles revising the content of unfair terms. It thus prohibited courts from modifying penalty clauses to reduce amounts to be paid by consumers,[59] as well as changing the currency of loan agreements or introducing a ceiling on the currency exchange rates.[60] It even prohibited replacing unfair terms with "an interpretation of the wishes of the parties",[61] even if such an interpretation would correspond to the common intention of the parties when they concluded the contract.[62] The Court also objected against removing some elements of a contractual clause that make it unfair while maintaining the rest valid, "where the removal of those elements would be tantamount to revising the content of that clause by altering its substance".[63]

However, the CJEU allowed for the partial removal of unfair terms, as long as a removed element "consists of a separate contractual obligation, capable of being subject to an individual examination of its unfair nature".[64] It also allowed courts to replace unfair terms with national indexes that determine acceptable interest rates in loan agreements,[65] or even to adjust applicable interest rates so they do not exceed the maximum statutory rates, as long as such adjustments do not require exercising judicial discretion.[66]

The CJEU's justification for those qualifications remains deterrence-oriented: revising the content of unfair terms (or anything that resembles it) would not contribute to cleansing the internal market from similar terms in the future, whereas replacing them with default rules

[56] Case C–260/18, *Dziubak,* ECLI:EU:C:2019:819, para 28.
[57] Ibid, paras 60–61.
[58] Fabrizio Esposito, '*Dziubak* Is a Fundamentally Wrong Decision: Superficial Reasoning, Disrespectful of National Courts, Lowers the Level of Consumer Protection' (2020) 16(4) ERCL (2020) 538.
[59] Case C-–/11, *Asbeek Brusse and de Man Garabito,* ECLI:EU:C:2013:341, para 60; Joined Cases C–349/18 to C–351/18, *Kanyeba,* ECLI:EU:C:2019:936, para 74.
[60] Case C–705/21, *AxFina Hungary,* ECLI:EU:C:2023:352, para 50.
[61] Joined Cases C–80/21 to C–82/21, *D.B.P.,* para 84.
[62] Case C–212/20, *A. S.A.*, paras 67, 70–71, 79.
[63] Joined Cases C–70/17 and C–179/17, *Abanca Corporación Bancaria,* ECLI:EU:C:2019:250, para 64; Joined Cases C–80/21 to C–82/21, *D.B.P.,* para 64.
[64] Case C–19/20, *Bank BPH,* ECLI:EU:C:2021:341, para 80.
[65] Case C–125/18, *Gómez del Moral Guasch,* para 37.
[66] C–482/13, *Unicaja Banco and Caixabank,* ECLI:EU:C:2015:21, para 29. See, however, Opinion of AG Wahl in that case, para 35, who cautions against a fine line within such a result and revising unfair terms.

does.[67] The distinction between unacceptably revising unfair terms and acceptably replacing them with default rules is contingent upon the effects of both on deterrence.

However, some cases seem to undermine such reasoning and render the Court's jurisprudence incoherent. In this strand of cases, the CJEU held that, while courts cannot revise unfair terms, consumers can do so in collaboration with traders. Courts are thus allowed – or even required, if there are no relevant national default rules – to invite the parties to negotiate revising an unfair term, set out "the framework for those negotiations", and ensure that they "seek to establish an effective balance between the rights and obligations of the parties".[68] Moreover, according to the CJEU, nothing in the UTD precludes the parties from revising unfair terms themselves, through a novation agreement,[69] or other amendments.[70] The only requirement is that any of those alternative ways of revising unfair terms should result from "free and informed consent", where consumers are "aware of the non-binding nature of that term and of the consequences resulting from it" before amending a contract.[71]

From the deterrence perspective, those considerations might seem perplexing. If allowing courts to revise unfair terms could compromise deterrence, what difference does it make if the parties themselves are allowed to do so?[72] Since *Banco Español de Crédito*, the CJEU has argued that traders, knowing that unfair terms can be revised, would not be discouraged from including them in standard form contracts. However, they might be even less discouraged from doing so when they are allowed to revise unfair terms themselves in collaboration with consumers. In fact, scholars who earlier criticised *Dziubak*, consider the above strand of the Court's jurisprudence to be quietly overruling the former.[73]

An alternative interpretation is that, in the above cases, the CJEU recognised the intrinsic value of consumer choices. That logic is reflected in the Opinion of Advocate General Saugmandsgaard Øe's in *Ibercaja Banco*, where he reiterates that the protection granted by the extended choice mechanism is not mandatory.[74] Instead, he argued that the objective of the UTD is to "to prevent a consumer from entering into obligations of a scope unknown to or poorly grasped by him". "Conversely", he continues, "where a consumer is aware of the legal consequences for him of a waiver of the protection afforded him, such a waiver is compatible" with the objectives of the Directive.[75] As was the case with the *ex officio* doctrine, also here consumer choices should take priority within the extended choice mechanism.

The conclusion is simple. If the only difference between unacceptable and acceptable revisions of unfair terms is who revises them, this factor ultimately trumps deterrence-oriented considerations. The function of the extended choice mechanism is to improve the quality of consumer choices. Allowing courts to discretionarily revise unfair terms would undermine that

[67] See e.g. Joined Cases C–349/18 to C-351/18, *Kanyeba,* paras 69–70.
[68] Case C–269/19, *Banca B.,* ECLI:EU:C:2020:954, para 45.
[69] Case C–452/18, *Ibercaja Banco*, para 30.
[70] Case C–269/19, *Banca B.*, para 59.
[71] Case C–452/18, *Ibercaja Banco*, para 28; Case C–19/20, *Bank BPH,*, paras 49, 60–61.
[72] Tassikas (n 52) 553–554.
[73] Fabrizio Esposito, 'Loans and the Unfair Contract Terms Directive After C-472/20 Lombard' (2022) 11(6) EuCML 223.
[74] Opinion of AG Saugmandsgaard Øe in Case C-452/18, *Ibercaja Banco,* ECLI:EU:C:2020:61, para 41.
[75] Ibid.

function, whereas allowing consumers to do so strengthens it, as long as it results from "free and informed consent'. The fact that such a conclusion might potentially compromise deterrence, as long as the intrinsic value of consumer choices is considered as the animating principle of the extended choice mechanism. Protecting the intrinsic value of choice trumps any deterrence considerations.

In sum, allowing consumers to revise unfair terms is perfectly compatible with the extended choice mechanism, which allows consumers to retroactively correct their original choices. It keeps consumer choices sticky and improves their overall quality by treating original and subsequent choices as uniform. The main objective of this fiction is to enhance consumer autonomy and protect the intrinsic value of their choices.

How to justify, in light of that conclusion, the fact that, in some circumstances, the CJEU allows courts to replace unfair terms with default rules? First and foremost, those circumstances are exceptional. Courts are allowed to replace unfair terms with default rules only if it is the only way to avoid the "particularly unfavourable consequences" of annulling a contract. It is therefore consumers' last resort in the absence of alternative ways of revising unfair terms through negotiations, novation agreements, or other amendments, subject to consumer choices.

In those exceptional circumstances, improving the quality of choice faces limits. Such limits are set by the paradoxical consequences of sticking with original consumer choices. If the extended choice mechanism resulted in "particularly unfavourable consequences" for consumers, it would be absurd to claim that it successfully improves the quality of choice. Replacing unfair terms with default rules functions as a safety net against such rare situations.

While it breaks with the stickiness of choice, such a solution seems more compatible with the overall extended choice mechanism than allowing courts to revise unfair terms. Instead of shaky deterrence arguments, favouring replacement over revision can be justified by three arguments. First, such a solution generates more predictability. While the content of default rules is determined in advance, the content of standards must be clarified *ex post*.[76] Therefore, it makes it easier for consumers to anticipate the consequences of the extended choice mechanism. Replacing unfair terms with default rules is thus less discretionary and less intrusive than revising them, and thus more respectful of consumer choices. Second, and accordingly, it allows default rules to perform their "standard" gap-filling role, and therefore brings the extended choice mechanism closer to the general contract law and its underlying principles. Granting courts discretion in revising unfair terms could depart from those principles. Third, replacement is a more democratic solution than revision of unfair terms. The content of default rules, enacted by the legislator, has democratic legitimacy, while revising unfair terms would be performed by unelected courts.[77] Therefore, while replacement departs from consumer choices, it can be argued that it respects the collective, democratic choices of citizens.

4. Transparency

[76] See Louis Kaplow, 'Rules Versus Standards: An Economic Analysis' (1992) 42(3) *Duke Law Journal* 557, 560.
[77] Such a reasoning is also reflected in recital 13 of the Unfair Terms Directive (n 36).

Another area where the foreign currency loan crisis has triggered developments of the CJEU's case law – although not as transformative and far-reaching as those on removing unfair terms from consumer contracts – is the requirement that consumer contracts are transparent. Article 5(2) UTD requires that contract terms are understandable to consumers. Moreover, Article 4(2) UTD extends that requirement to core contract terms and makes them object to the unfairness test if they do not meet those criteria.[78] This extension is "directed against terms which may conceal the principal obligations of the price and thus make it difficult for the consumer to obtain an overview of the market".[79] Therefore, the transparency requirement addresses predominantly the first aspect of poor-quality choices: limited information.

The CJEU developed a broad understanding of the transparency requirement. It asserted, for instance, that "financial institutions must provide borrowers with adequate information to enable them to make well-informed and prudent decisions".[80] Such an approach is reflected also in the landmark *Kásler* case, where the Court stated that the transparency requirement cannot be reduced to contract terms being "formally and grammatically intelligible".[81] Instead, contract terms should be sufficiently understandable so

> the average consumer, who is reasonably well informed and reasonably observant and circumspect, would not only be aware of the existence of the difference, generally observed on the securities market, between the selling rate of exchange and the buying rate of exchange of a foreign currency, but also be able to assess the potentially significant economic consequences for him resulting from the application of the selling rate of exchange for the calculation of the repayments for which he would ultimately be liable and, therefore, the total cost of the sum borrowed[82].

In subsequent cases, the Court made those requirements more precise. It stated that transparent contract terms must set out "the reason for and the specific features of the mechanism for converting the foreign currency, and the relationship between that mechanism and the mechanism laid down by other terms of the agreement".[83] It also made clear that such a requirement is not met by merely pointing out that the consumer bears the risk of "the significant changes in the money market".[84] The Court also specified that specifying the scope of such a risk in a transparent manner might include "the provision of data relating to past fluctuations of the index on the basis of which [a variable interest] rate is calculated", or "the possible variations in the exchange rate and the risks inherent in entering into such an agreement".[85] Importantly, traders must inform consumers about the context of variable exchange rates. The transparency require-

[78] As the CJEU stated in Case C–26/13, *Kásler,* ECLI:EU:C:2014:282, para 69, both provisions rely on the same criteria of transparency.
[79] Brandner and Ulmer (n 11) 656.
[80] Case C–186/16, *Andriciuc,* ECLI:EU:C:2017:703, para 49.
[81] Case C–26/13, *Kásler,* para 75.
[82] Ibid para 78.
[83] Case C–212/20, *A. S.A.,* ECLI:EU:C:2021:934, para 49.
[84] Case C–143/13, *Matei,* ECLI:EU:C:2015:127, para 76.
[85] Case C–125/18, *Gómez del Moral Guasch,* ECLI:EU:C:2020:138, paras 56, 71.

ment is not satisfied by merely conveying "even a large amount of information – if that information is based on the assumption that the exchange rate between the account currency and settlement currency will remain stable throughout the term of the agreement".[86] Whether the information is transparent, can be co-determined by pre-contractual information provided by traders,[87] or quantitative simulations, as long as they "help the consumer to understand the actual scope of the risk".[88]

The transparency requirement can improve the quality of choice both *ex ante* and *ex post*. Understandable information provided before the conclusion of the contract certainly renders consumer choices more meaningful. However, transparency is equally relevant after the contract is concluded. Recent empirical work suggests that consumers often make better use of information after concluding contracts rather than before that.[89] The UTD's extended choice mechanism recognises that fact and draws two consequences from it. First, as established by Article 4(2) UTD, the lack of transparency can render even core contract terms subject to the evaluation of unfairness. Second, and more generally, the lack of transparency is a relevant factor in evaluating whether a contract term is unfair (although there is no automatic link between non-transparency and unfairness).[90]

In principle, the transparency requirement can be championed by everyone. Those who see choices as intrinsically valuable should appreciate the immediate improvement in the quality of choice that it can bring. Others, who see choices as instrumentally valuable towards maximising efficiency, should appreciate that more understandable information allows consumers to make more accurate choices, thus contributing to overall preference-satisfaction.[91] In the context of the EU, the instrumentalist view considers the transparency requirement as an important tool for overcoming information asymmetries and thus facilitating the internal market.[92] Therefore, the Court's case law on transparency, while illustrating how the extended choice mechanism operates, can also be interpreted consistently with other theoretical approached.

All the above perspectives recognise that consumers are not able to adequately process and comprehend all that information due to their limited cognitive capabilities and numerous cognitive biases.[93] Consumers often do not read standard terms; if they read them, they often do not understand them; and even if they understand them, they are not able to act upon that

[86] Joined Cases C–229/19 and C–289/19, *Dexia Nederland,* para 74.
[87] Case C–621/17, *Kiss,* ECLI:EU:C:2019:820, para 44.
[88] Joined Cases C–229/19 and C–289/19, *Dexia Nederland,* para 73.
[89] Meirav Furth-Matzkin, 'On the Unexpected Use of Unenforceable Contract Terms: Evidence From the Residential Rental Market' (2017) 9 *Journal of Legal Analysis* 1; Meirav Furth-Matzkin, 'The Harmful Effects of Unenforceable Contract Terms: Experimental Evidence' (2019) 4 *Alabama Law Review* 1032.
[90] See Nicholas Mouttotos, 'Does Transparency Lead to Unfairness? The Court of Justice of the European Union on the Duty to Inform about Mandatory Rules' (2020) 16(2) ERCL 334; see also Case C–395/21, *D.V.*, ECLI:EU:C:2023:14, paras 46–52.
[91] Cf Christoph Busch, 'The Future of Pre-contractual Information Duties: From Behavioural Insights to Big Data' in Christian Twigg-Flesner (ed), *Research Handbook on EU Consumer and Contract Law* (Edward Elgar 2016) 221.
[92] Thomas Wilhelmsson and Christian Twigg-Flesner, 'Pre-contractual Information Duties in the Acquis Communautaire' (2006) 2(4) ERCL 441, 449; Stefan Grundmann, 'Information, Party Autonomy and Economic Agents in European Contract Law' (2002) 39(2) CML Rev (2002) 269.
[93] See eg Geraint Howells, 'The Potential and Limits of Consumer Empowerment by Information' (2005) 32(3) *Journal of Law and Society* 349, 360–361.

knowledge, since their choices are also constrained by limited bargaining power and the lack of alternatives. All that might result in "rational apathy", where consumers reasonably forego reading standard contract terms, recognising that they can neither understand nor change them.

The transparency requirement aims to mitigate those difficulties, entailed by the constrained nature of consumer choices. However, as often recognised in the literature, transparency is "easy to require and hard to accomplish" because "the complex isn't simple and can't easily be made so".[94] The transparency requirement is thus based on the paradox entailed by an "inherent tension between providing more information and providing accessible information".[95] On the one hand, transparency requires the conciseness of information to make it understandable and to avoid information overload. On the other hand, information should be comprehensive enough to provide consumers with all relevant knowledge. Those opposing requirements might render transparency unattainable. The problem is exacerbated by heterogeneity among consumers: different people have different information-processing capabilities and consider different items of information as relevant in a particular context.

Despite those difficulties, the CJEU consistently champions transparency as a tool for empowering consumers. It is submitted, although it is not a decisive argument, that the Court's insistence expresses its commitment to the intrinsic value of choice. The instrumentalist view considers the value of choice as contingent upon its effectiveness in pursuing external objectives: maximising efficiency, facilitating the EU internal market, or pursuing social justice. If transparency does not help to achieve those objectives, due to the transparency paradox, it is useless.

The difficulties entailed by the transparency paradox might put the effectiveness of transparency into question. Even if this is not the case, the CJEU does not investigate the actual impact of the transparency requirement: it either assumes that transparency is effective, or that the effectiveness of the transparency requirement is not the most important consideration. In any case, the Court does not provide arguments in favour of the actual effectiveness of the transparency requirement.

The fact that the CJEU insists on the transparency requirement despite its questionable effectiveness demonstrates the Court's attachment to the intrinsic value of choice. Even though transparency might not improve the quality of choice, it expresses the commitment to do so. The instrumentalist view would not recommend sticking to transparency if it does not lead to optimal results. From a deterrence standpoint, other solutions might also seem more desirable than basing one's hopes on the shaky ground of transparency. A commitment to the intrinsic value of choice might provide an answer to those concerns. Consumer law strives to improve the quality of choice for its own sake, without regard for efficiency, deterrence, or other objectives.

[94] Omri Ben-Shahar and Carl Schneider, *More than You Wanted to Know: The Failure of Mandated Disclosure* (Princeton University Press 2016) 123.
[95] Oren Bar-Gill, *Seduction by Contract* (OUP 2012) 37.

The above argument is far from conclusive as it hinges on considerations about the actual effectiveness of the transparency requirement. So does the Court's reasoning, however. Therefore, there are valid reasons to consider transparency as the sign of attachment to the intrinsic value of choice.

To conclude, it should be reiterated that the transparency requirement attempts to address consumers' limited information. It does little, however, to remedy their limited bargaining power. Unfair contract terms remain unfair, even if transparent.[96] In fact, insisting on transparency is often criticised for excluding other, more substantive tools of consumer protection.[97] Hence, to protect consumers effectively, the transparency requirement must be combined with other, more substantive instruments that constitute the extended choice mechanism enshrined in the Directive.

5. *Ex Officio* Doctrine

While the foreign currency loans crisis cases decided by the CJEU have not significantly added to the development of *ex officio*, this doctrine should nonetheless be examined to provide a comprehensive picture of the extended choice mechanism established by the UTD. The doctrine was gradually developed by the Court, first as a possibility, and then as a duty of courts to evaluate unfairness of the contract terms of their own motion, even if the issue is not raised by consumers in the proceedings. In *Océano,* the case in which the doctrine was first established, the Court stated that poor quality of consumer choices, stemming from limited knowledge and limited bargaining power, can "only be corrected by positive action unconnected with the actual parties to the contract".[98] In *Mostaza Claro,* the CJEU transformed the possibility of courts evaluating unfairness of their own motion into a duty to do so.[99]

It might seem like the *ex officio* doctrine takes choice away from consumers, instead of improving its quality.[100] In fact, the justification for it seems deterrence-oriented, rather than focused on consumer choices. In *Océano*, the CJEU stated that the doctrine is jointly justified by Articles 6 and 7 UTD: that it should both prevent consumers from being bound by unfair terms and cleanse the internal market from unfair terms for the future.[101] While both perspectives are not necessarily inconsistent, in *Mostaza Claro* the Court's reasoning significantly tilted towards the systemic perspective, emphasising "[t]he nature and importance of the public interest underlying the protection which the Directive confers on consumers".[102] Cleansing the internal market from unfair terms apparently trumps other considerations.[103]

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[96] See Chris Willet and Martin Morgan-Taylor, 'Recognising the Limits of Transparency in EU Consumer Law' in James Devenney and Mel Kenny (eds), *European Consumer Protection. Theory and Practice* (CUP 2012) 143.
[97] Ben-Shahar and Schneider (n 94) 169–182.
[98] Joined Cases C–240/98 to C–244/98, *Océano*, para 27.
[99] Case C-168/05, *Mostaza Claro,* ECLI:EU:C:2006:675, paras 26–29.
[100] For such a view, see Allison Östlund, *Effectiveness versus Procedural Protection* (Nomos 2019) 113.
[101] Joined Cases C–240/98 to C–244/98, *Océano*, para 28.
[102] Case C–168/05, *Mostaza Claro,* para 38.
[103] For clarifications, extensions, and further applications of the *ex officio* doctrine, see eg Case C–473/00, *Cofidis SA,* ECLI:EU:C:2002:705; Case C–40/08, *Asturcom Telecomunicaciones SL,* ECLI:EU:C:2009:615; Case C–397/11, *Erika Jőrös,* ECLI:EU:C:2013:340; Case C–137/08, *VB Pénzügyi Lízing Zrt.,* ECLI:EU:C:2010:659.

However, a closer look at recent case law suggests that the main aim of the *ex officio* doctrine is to make unfair terms control subject to consumer choice. Most importantly, in *Pannon*, the CJEU stated that consumers might oppose the non-application of a contract term that courts evaluated as unfair if they do "does not intend to assert its unfair or non-binding status".[104] Therefore, it established "the decisive character of consumer wishes". regarding the non-application of unfair terms.[105] Such statements demonstrate that improving the quality of consumer choices is the main aim of the *ex officio* doctrine, even if they can undermine the deterrence objective of the UTD. *Pannon* and subsequent cases demonstrate that the doctrine does not deprive consumers of choice. Quite the contrary, it attempts to create conditions in which those choices can be meaningful, within the extended choice mechanism. The function of the *ex officio* doctrine is to help consumers detect potentially unfair terms and decide whether they wish to correct their original choices. Improving the quality of choice is valuable for its own sake, even if it can compromise deterrence.

Two considerations strengthen the claim that the *ex officio* doctrine attempts to improve the quality of consumer choices instead of eliminating them. First, in *Banif Plus Bank* the CJEU stated that courts evaluating the unfairness of contract terms of their own motion should "inform the parties to the dispute of that fact and to invite each of them to set out its views on that matter, with the opportunity to challenge the views of the other party".[106] According to the Court, such a conclusion follows from the possibility of consumers opposing the non-application of unfair terms by giving their "free and informed consent to the term in question".[107] Courts must thus always invite the parties to express their views on the subject matter.[108] This is to guarantee conditions in which consumers' final decision about the non-application of unfair terms can be presumed to be of high quality. Deterrence considerations should be considered subordinate to this objective.

Second, the CJEU established that all contract terms must be taken into account in evaluating whether a particular term is unfair.[109] However, in *Lintner* the Court stated that it does not include evaluating the unfairness of each and every contract term.[110] The *ex officio* doctrine does not require a court "to examine of its own motion and individually all the other contractual terms, which were not challenged by that consumer, in order to ascertain whether they can be considered unfair, but must examine only those terms which are connected to the subject matter of the dispute, as delimited by the parties".[111] Consumer choices should determine the subject matter of the proceedings. Presumably, this is the case even if deterrence can be compromised.

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[104] Case C–243/08, *Pannon,* ECLI:EU:C:2009:350, paras 33, 35.
[105] Joined Cases C–80/21 to C–82/21, *D.B.P.,* ECLI:EU:C:2022:646, para 78; on the decisive role of consumer wishes, see also Case C–6/22, *M.B. and Others,* ECLI:EU:C:2023:216, paras 42-44.
[106] Case C–472/11, *Banif Plus Bank,* ECLI:EU:C:2013:88, para 36.
[107]Case C–243/08, *Pannon,* para 35.
[108] Case C–472/11, *Banif Plus Bank,* paras 31-32; Case C–170/21, *Profi Credit Bulgaria,* ECLI:EU:C:2022:518, paras 31-32.
[109] Case C–472/11, *Banif Plus Bank,* para 41.
[110] Case C–511/17, *Lintner,* ECLI:EU:C:2020:188, para 49.
[111] Ibid, para 44. See Mónika Józon, 'The Ex Officio Doctrine of the CJEU Revisited: On the Active Role of the Courts in Unfair Contract Terms Law – Critical Remarks on the Lintner Ruling (C-551/17) of the CJEU' (2023) 19 *Croatian Yearbook of European Law and Policy* (2023) 361, for a critique of *Lintner* as a significant step back in consumer protection.

The *ex officio* doctrine attempts to create conditions for meaningful consumer choice, but it is ultimately up to consumers to decide whether to trigger the doctrine. This is the best way to improve the quality of choice within the extended choice mechanism.

Admittedly, the presumption of unfairness created by the *ex officio* doctrine remains strong. If consumers do not explicitly object to the court's evaluation of a standard term as unfair, the latter will be invalidated.[112] The decisive character of consumer wishes does not entail that consumers have formally confirmed that they want an unfair term removed from the contract or even be present at the relevant proceedings.[113] On top of that, it might seem unrealistic that consumers would ever object to removing unfair terms from their contracts.

Despite all that, the design of the *ex officio* doctrine clearly shows that its main aim and underlying normative commitment is to improve the quality of choice for its own sake, even if it can potentially compromise deterrence. It creates conditions for consumers to make a subsequent choice in order to correct, and thus improve, the quality of the original choice. A similar conclusion is reflected in the Opinion of Advocate General Wahl in *Unicaja Banco and Caixabank*, where he stated that consumers cannot waive their rights stemming from the UTD from the outset since such a waiver can never be considered "informed".[114] Improving the quality of choice requires correcting asymmetries in knowledge and bargaining power between consumers and traders. The *ex officio* doctrine can do so by creating conditions to correct the original choice within the relevant proceedings. An *ex ante* waiver could not do so.

6. Conclusion

Most consumers are happy to sacrifice the quality of their choices in exchange for quantity and ease in making them. However, when choices lead to disastrous outcomes, the need to improve their quality emerges. The extended choice mechanism established by the UTD answers that need, by providing consumers with opportunities to retroactively correct their original, poor-quality choices. The normative justification behind that mechanism is to protect the intrinsic value of choice rather than pursuing any external objectives. While the CJEU initially championed deterrence-oriented reasoning – in cases concerning the *ex officio* doctrine and the consequences of removing unfair terms from consumer contracts – it eventually resorted to protecting choices for their own sake. Consumer autonomy is the guiding principle of the judicial control of standard form contracts in the EU.

The article has elucidated the analytical structure of the extended choice mechanism, revealed its normative underpinnings, and demonstrated how it operates at the doctrinal level. However, those considerations do not exhaust all relevant issues related to the judicial control of standard form contracts. Is the general unfairness test from *Aziz* too ambiguous to provide

[112] See Case C–170/21, *Profi Credit Bulgaria*, para 38: Case C–287/22 *Getin Noble Bank S.A.,* ECLI:EU:C:2023:491, para 59.
[113] Case C–140/22, *mBank S.A.,* ECLI:EU:C:2023:965, paras 56–61; Case C–495/19, *Kancelaria Medius S.A.,* ECLI:EU:C:2020:431.
[114] Opinion of AG Wahl in Case C–869/19, *Unicaja Banco,* ECLI:EU:C:2021:617, paras 43–44.

courts with any meaningful guidance in evaluating contract terms?[115] Is excluding core contract terms from the scope of the unfairness test legitimate? The article's argument has been based on the assumption that consumer choices regarding those terms are usually of relatively high quality and therefore they should not be subject to the unfairness test.[116] This assumption, however, is contestable: there are scholars who argue that the quality of consumer choices regarding core contract terms is very often undermined.[117] This article cannot contribute to those debates, except noting that the exclusion of core terms can be overcome in several ways: from allowing national legislation to make those terms subject to unfairness test,[118] through a broad understanding of the transparency requirement,[119] to a consumer-friendly interpretation of what exactly constitutes core terms in consumer contracts.[120]

Despite these limitations – and accepting that some more specific considerations must be fine-tuned at the level of legal doctrine – the article's argument is an important addition to the literature. It contributes to the debate on the judicial control of standard form contracts, providing a coherent framework for understanding the evolution of the CJEU's case law on the UTD, with particular emphasis on cases originating from the foreign currency loans crisis. More generally, it provides a new, autonomy-based perspective on consumer contracts, informed by recent developments in contract law theory, which can be extended to other areas of EU consumer law.[121] Such an approach allows for a coherent conceptualisation of choice in EU consumer law superior to alternative theories, which are either too narrow or too shallow.[122] Therefore, the article contributes to deeper understanding of one of the fundamental concepts of EU private law.

Finally, and accordingly, the article makes the case for non-instrumentalist perspective on EU private law.[123] By decoupling the analysis of the Unfair Terms Directive – one of fundamental building blocks of EU private law – from extra-legal objectives, such as facilitating the

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[115] Cf Fernando Gómez Pomar, 'Core versus non-core terms and legal controls over consumer contract terms: (Bad) lessons from Europe?' (2019) 15(2) ERCL 177, 185.

[116] The assumption strengthen by the fact that the quality/quantity trade-off benefits consumers because it lowers the prices of goods and services, where price is always considered as one of the core contract terms; see Korobkin (n 20) 1206. Moreover, there is a legal argument for excluding core terms from the scope of the UTD that 'no legal scale or criterion exists that can provide a framework for, and guide, such a review' (Case C–26/13, *Kásler*, para 55).

[117] Some examples of such a critique, using different terminology, include Hans Wolfgang Micklitz, 'Reforming European Unfair Terms Legislation in Consumer Contracts' (2010) 6(4) ERCL 347, 363; Martijn Hesselink, 'Unfair Terms in Contracts Between Businesses' in Reiner Schulze and Jules Stuyck (eds), *Towards a European Contract Law* (Sellier 2011) 133.

[118] Case C–484/08, *Caja de Ahorros y Monte de Piedad de Madrid,* EU:C:2010:309, para 44.

[119] Art 4(2) of the Unfair Terms Directive (n 35) itself makes an exception for non-transparent core terms that can be considered unfair.

[120] For the argument that the distinction between core and non-core terms in consumer contracts is not always clear, see Gómez Pomar (n 114); see also Oren Bar-Gill, 'Price Caps in Multiprice Markets' (2015) 44(2) *Journal of Legal Studies* 435.

[121] The author attempts to develop such an autonomy-based, overarching theory of EU consumer law in his forthcoming book Szymon Osmola, *Reflective Choices. A Liberal Theory of Consumer Contracts* (CUP, forthcoming).

[122] Sibony (n 12) 131–134.

[123] As such, it is consistent with the author's earlier arguments in that regard developed in Grigorios Bacharis and Szymon Osmola, 'Rethinking the Instrumentality of European Private Law' (2022) 30(3) ERPL 457; and Grigorios Bacharis and Szymon Osmola, 'Bridging the Gap(s): The Importance of Private Law Theory in the EU Context' (2024) 61(5) CML Rev 1315.

EU internal market or pursuing social justice, the article offers a normatively appealing take on this area of law. This allows for a structural analysis of EU private law that reveals that, ultimately, it is not so different from Member States' national private law systems. This conclusion goes far beyond the autonomy-based reading of the UTD and illustrates why the argument presented in the paper can be relevant for anyone interested in EU private law, or even EU law more generally.